

4.2 SOLE PROPRIETORSHIPS & PARTNERSHIPS

1990/CE/II/12

The advantages of sole-proprietorship include

- (1) limited liability
 - (2) flexibility in decision making
 - (3) a high degree of division of labour
 - (4) more personal contact with customers
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

1990/CE/II/21

Mr. Chan was one of the owners of a trading firm which recently went bankrupt. The court then took over his personal property. To what kind of business ownership did this trading firm belong?

- A. sole-proprietorship
B. partnership
C. private limited company
D. public limited company

1991/CE/II/15

Which of the following is an advantage of a partnership over a sole proprietorship?

- A. a stronger incentive for efficiency.
B. more flexibility in making management decisions.
C. a wider range of abilities and talents in management.
D. limited liability to all partners.

1993/CE/II/09

Peter and Joan form a general partnership. Which of the following is true?

- A. One of them enjoys limited liability.
B. Peter and Joan share the profits, if any, equally.
C. If Peter borrows money in the name of the partnership, Joan is also liable for this debt.
D. Peter can transfer his ownership in the partnership without Joan's agreement.

1993/CE/II/09

Which of the following is a feature of a general partnership?

- A. Only the sleeping partners enjoy limited liability
B. The business will be dissolved on the death of any one partner
C. All partners enjoy an equal share of the firm's profit
D. The consent of the majority of partners is needed for the transfer of shares

1999/CE/II/17

Mr Lee is medical doctor and manages a clinic. He is responsible for the loss in excess of the capital he has contributed to the firm. The firm is a _____ and Mr Lee is a _____.

- (1) sole proprietorship sole proprietor
- (2) partnership general partner
- (3) (out of syllabus)

- A. (1) only
- B. (2) only
- C. (1) or (2)
- D. (2) or (3)

1999/CE/II/18

John, Andy and Sammi form a general partnership. Which of the following is true?

- A. They share profit equally.
- B. They can transfer their ownership freely without the consent of other partners.
- C. They have to bear unlimited liability
- D. They have to disclose the financial conditions of the partnership.

1999/CE/II/21

Partnership _____ than sole proprietorship.

- A. has more capital
- B. is a less risky type of ownership
- C. enjoys more economies of scale
- D. has less flexibility in decision making

2000/CE/II/20

Mr Wong and Mr Chan have formed a partnership. Which of the following statements is correct?

- A. They enjoy limited liability.
- B. The transfer of ownership does not need the other partner's consent.
- C. Each of them is responsible for the business decisions of the other.
- D. The accounts of the partnership have to be disclosed to the public.

2001/CE/II/22

Mr Lee is a private medical doctor. He wants to expand his business. He can raise funds by

- (1) borrowing from banks.
- (2) inviting partners to form a general partnership.
- (3) forming a private limited company and issuing shares.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2005/CE/II/22

Which of the following is an advantage of general partnership over sole proprietorship?

- A. The owners enjoy limited liability.
- B. It has a wider source of capital.
- C. The risk of running the business is lower.
- D. There is no need to disclose its financial accounts to the public.

2009/CE/II/21

Mr. Lee, a sole proprietor, expands his business by forming a general partnership with Mr. Chan. As a result,

- A. their liability to the firm is confined to their investment in the firm.
- B. they have to share profits equally.
- C. each of them has to be responsible for the business decisions of his partner.
- D. they can issue shares to raise capital.

2014/DSE/I/08

Which of the following statements about partnership and sole proprietorship is correct?

- A. Partnership has better continuity than sole proprietorship.
- B. Partnership has less flexibility in decision making than sole proprietorship.
- C. Partnership has more capital than sole proprietorship.
- D. Partnership enjoys more economies of scale than sole proprietorship.

2022/DSE/I/5

Which of the following is a possible reason for turning a firm from a sole proprietorship to a partnership?

- A. The firm can get more profit.
- B. The firm can enjoy a wider scope of specialisation.
- C. The firm will become an independent legal entity.
- D. Business risk will be reduced as all partners have unlimited liability.

Short & Structured Questions

1995/CE/I/1

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To what type of business ownership does the above firm belong? List **THREE** features of this type of business ownership. (4 marks)

1995/CE/I/11(c)

Many small property agencies in Hong Kong register as sole proprietorships rather than limited companies. Give **THREE** advantages of a sole proprietorship compared to a limited company. (6 marks)

1998/CE/I/9(b)

The restaurant is general partnership. Explain **TWO** advantages of a general partnership over a sole proprietorship. (4 marks)

2018/DSE/II/2(a)

Last year, Peter operated a sole proprietorship. Recently he invited Paul and Mary to form a partnership to expand the business to other markets.

Suggest **TWO** reasons why Peter switched his firm's form of business ownership for expansion. (2 marks)

2022/DSE/II/1a

- (a) Mary was the major shareholder of a private limited company which operated a restaurant chain. She planned to change the form of business ownership to a listed company. List **ONE** advantage and **ONE** disadvantage of the change. (2 marks)